

## EM ASIA FX/RATES VIEWS

## We recommend going long INR 30Y bonds on improving macro backdrop, recent RBI FX measures and likely Global Agg Index inclusion

**Improved macro outlook:** India's local government bond yields initially rose 50-70bp between January and March, reflecting concerns around the country's exposure to higher energy and fertilizer prices. But the overall macro impact has been less than initially feared, with the outlook now improving further with the interim US-Iran deal. Q1 real GDP growth came in at 7.8% yoy, around 50bp above our forecast, led by strong investment and services activity. With Q2 growth tracking above earlier expectations and oil forecasts now revised lower, we recently raised our CY26 real GDP forecast by 0.3pp to 6.8% and our FY27 forecast by 0.4pp to 6.5%. Lower oil prices have also reduced the risk of further increases in retail fuel prices, even as earlier pump-price hikes will continue to feed into inflation in the coming months. We therefore lowered our core inflation forecasts for CY26 by 0.1pp to 4.2% and for CY27 by 0.2pp to 4.0%. Meanwhile, the sharp correction in global urea prices is likely to limit the increase in the government's fertilizer subsidy bill relative to our earlier expectations, and recent import tenders have cleared at substantially lower prices than those seen at the peak of the Middle East conflict. Put together, a lower inflation trajectory and reduced fiscal pressures are supportive for the macro backdrop.

**RBI's FX measures:** On June 5, the RBI and the Government of India announced a slew of capital flow measures aimed at boosting foreign inflows. These include full FX hedging support for fresh Foreign Currency Non-Resident 3-5Y deposits, concessional FX swap rates for quasi-sovereign companies to raise USD funding, as well as raising the individual investment limits for domestic equities. In our view, there are two bond-related measures which should help attract inflows, while also improving India's index eligibility for the Bloomberg Global Aggregate Index. First, the authorities removed interest and capital gains tax for FIIs in G-Sec. This reduces an important operational friction, including the need for a local tax consultant, which was a burden for foreign investors previously. Second, the expansion of the Fully Accessible Route (FAR) universe to include all new 15-year, 30-year, and 40-year G-Sec issuances is foreign-investor friendly and should improve investability across the sovereign yield curve. While these changes may take time to be fully reflected in market practice, the direction of policy is supportive.

**Bloomberg Global Aggregate Index inclusion:** Bloomberg Indices in January deferred the decision on India's inclusion in the Global Aggregate Index until mid-2026, citing the need for further review of operational and market infrastructure issues, according to media reports at the time. In our view, the hurdle for inclusion has always been relatively high given the index is predominantly a DM

**Danny Suwanapruti**

+65-6889-1987 |  
danny.suwanapruti@gs.com  
Goldman Sachs (Singapore) Pte

**Santanu Sengupta**

+91(22)6616-9042 |  
santanu.sengupta@gs.com  
Goldman Sachs India SPL

**Arjun Varma**

+91(22)6616-9043 |  
arjun.varma@gs.com  
Goldman Sachs India SPL

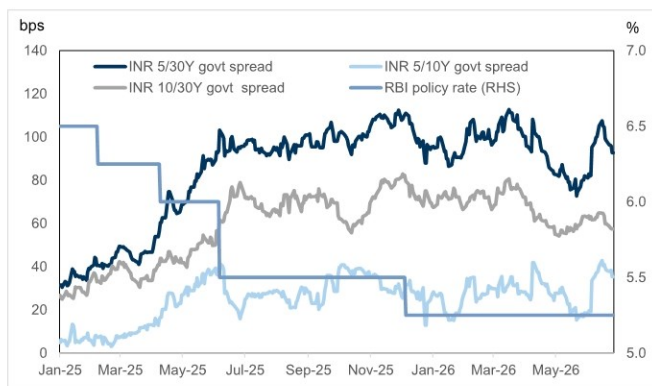
**Andrew Tilton**

+852-2978-1802 |  
andrew.tilton@gs.com  
Goldman Sachs (Asia) L.L.C.

sovereign/credit index, whose investor base typically requires smoother market access, trading, and settlement than is needed for global EM local-currency indices. That said, India's full inclusion in the JPM GBI-EM Global Diversified index in March 2025, where it has reached the 9% weight cap, suggests market access has improved materially, and investor feedback also points to gradual progress in onboarding, collateral, and settlement processes (such as custodians being able to post margin on behalf of investors). Taken together with the RBI's announced measures on June 5, we think India's eventual inclusion in the Global Aggregate Index is increasingly a question of timing rather than direction, with a mid-year announcement likely, in our view. If included into the Global Aggregate Index, we estimate that India's index weight will be around 0.7%, based on the current outstanding size of FAR bonds (including the newly added ones), which could prompt around \$15bn of passive inflows over the phase-in period.

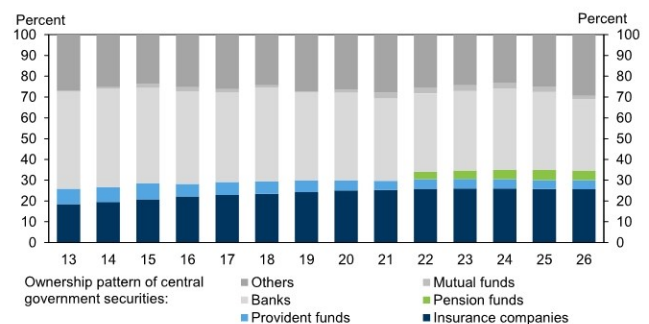
**Where on the curve?** The macro backdrop is also turning more supportive for INR duration as inflation expectations are easing and lower oil prices should reduce fiscal risks. We prefer the ultra long-end segment of the yield curve as more ultra-long bonds enter the FAR universe, and the front-end has already rallied sharply on lower oil prices over the past few weeks and the pricing out of RBI rate hike expectations. Moreover, as outlined in our previous work on India's "savings glut", there is an ongoing trend of financialization of household savings, where allocations are shifting away from banks to retirement savings (including pension funds, Public Provident Funds, and insurance companies), which should gradually increase the structural demand for ultra long-end bonds. Put together, **we recommend buying INR 30-year bonds** (entry 7.34%, target 6.90% and stop-loss 7.65%). The key risk to this trade is if there is large global duration sell-off (say on more hawkish Fed), which could drag EM bond yields, including India, higher across the curve, or if domestic inflation / fiscal risks re-emerge.

**Exhibit 1: We think there is scope for long-end yields to move structurally lower**



Source: Bloomberg

**Exhibit 2: Long-term investors like insurance companies, pension and provident funds have increased their ownership of IGBs in recent years**



Note: i) Others include RBI, foreign institutions, corporates and financial institutions, ii) Others included pension funds as well prior to 2022, iii) Years are in fiscal years

Source: Haver Analytics



**Exhibit 3: The RBI recently expanded the universe of Fully Accessible Bonds (FAR) bonds to include the ultra-long end**

| ISIN         | Coupon | Maturity at issuance | Issue date | Maturity   | Amount Outstanding (INR bn) | Amount Outstanding (USD bn) |
|--------------|--------|----------------------|------------|------------|-----------------------------|-----------------------------|
| IN0020220037 | 7.38   | 5                    | 6/20/2022  | 6/20/2027  | 1,099                       | 11.64                       |
| IN0020230010 | 7.06   | 5                    | 4/10/2023  | 4/10/2028  | 922                         | 9.76                        |
| IN0020210186 | 5.74   | 5                    | 11/15/2021 | 11/15/2026 | 467                         | 4.94                        |
| IN0020250141 | 6.36   | 5                    | 2/16/2026  | 2/16/2031  | 810                         | 8.58                        |
| IN0020230101 | 7.37   | 5                    | 10/23/2023 | 10/23/2028 | 556                         | 5.89                        |
| IN0020240159 | 6.79   | 10                   | 12/2/2024  | 12/2/2034  | 100                         | 1.06                        |
| IN0020240076 | 7.02   | 7                    | 6/18/2024  | 6/18/2031  | 640                         | 6.78                        |
| IN0020230085 | 7.18   | 10                   | 8/14/2023  | 8/14/2033  | 2,010                       | 21.28                       |
| IN0020230051 | 7.3    | 30                   | 6/19/2023  | 6/19/2053  | 1,950                       | 20.65                       |
| IN0020250059 | 6.28   | 7                    | 7/14/2025  | 7/14/2032  | 550                         | 5.82                        |
| IN0020240019 | 7.1    | 10                   | 4/8/2024   | 4/8/2034   | 1,800                       | 19.06                       |
| IN0020230077 | 7.18   | 14                   | 7/24/2023  | 7/24/2037  | 1,720                       | 18.21                       |
| IN0020180454 | 7.26   | 10                   | 1/14/2019  | 1/14/2029  | 1,197                       | 12.67                       |
| IN0020210244 | 6.54   | 10                   | 1/17/2022  | 1/17/2032  | 1,560                       | 16.52                       |
| IN0020220011 | 7.1    | 7                    | 4/18/2022  | 4/18/2029  | 1,519                       | 16.08                       |
| IN0020220060 | 7.26   | 10                   | 8/22/2022  | 8/22/2032  | 1,480                       | 15.67                       |
| IN0020230135 | 7.32   | 7                    | 11/13/2023 | 11/13/2030 | 700                         | 7.41                        |
| IN0020250075 | 7.24   | 30                   | 8/18/2025  | 8/18/2055  | 980                         | 10.38                       |
| IN0020250091 | 6.48   | 10                   | 10/6/2025  | 10/6/2035  | 2,260                       | 23.93                       |
| IN0020250133 | 6.68   | 7                    | 1/27/2026  | 1/27/2033  | 550                         | 5.82                        |
| IN0020240191 | 6.79   | 7                    | 12/30/2024 | 12/30/2031 | 630                         | 6.67                        |
| IN0020240126 | 6.79   | 10                   | 10/7/2024  | 10/7/2034  | 1,840                       | 19.48                       |
| IN0020230036 | 7.17   | 7                    | 4/17/2023  | 4/17/2030  | 1,030                       | 10.91                       |
| IN0020250067 | 6.01   | 5                    | 7/21/2025  | 7/21/2030  | 1,170                       | 12.39                       |
| IN0020220151 | 7.26   | 10                   | 2/6/2023   | 2/6/2033   | 1,500                       | 15.88                       |
| IN0020210095 | 6.1    | 10                   | 7/12/2021  | 7/12/2031  | 1,524                       | 16.13                       |
| IN0020240050 | 7.04   | 5                    | 6/3/2024   | 6/3/2029   | 871                         | 9.22                        |
| IN0020220086 | 7.36   | 30                   | 9/12/2022  | 9/12/2052  | 1,620                       | 17.15                       |
| IN0020200153 | 5.77   | 10                   | 8/3/2020   | 8/3/2030   | 1,230                       | 13.02                       |
| IN0020240183 | 6.75   | 5                    | 12/23/2024 | 12/23/2029 | 870                         | 9.21                        |
| IN0020250026 | 6.33   | 10                   | 5/5/2025   | 5/5/2035   | 1,834                       | 19.42                       |
| IN0020250042 | 6.68   | 15                   | 7/7/2025   | 7/7/2040   | 2,110                       | 22.34                       |
| IN0020260025 | 6.94   | 10                   | 5/11/2026  | 5/11/2036  | 680                         | 7.20                        |
| IN0020190362 | 6.45   | 10                   | 10/7/2019  | 10/7/2029  | 1,148                       | 12.16                       |
| IN0020200252 | 6.67   | 30                   | 11/2/2020  | 12/17/2050 | 1,492                       | 15.79                       |
| IN0020220029 | 7.54   | 14                   | 5/23/2022  | 5/23/2036  | 1,539                       | 16.30                       |
| IN0020200070 | 5.79   | 10                   | 5/11/2020  | 5/11/2030  | 1,116                       | 11.82                       |
| IN0020220102 | 7.41   | 14                   | 12/19/2022 | 12/19/2036 | 1,650                       | 17.47                       |
| IN0020200294 | 5.85   | 10                   | 12/1/2020  | 12/1/2030  | 1,208                       | 12.79                       |
| IN0020210194 | 6.99   | 30                   | 11/15/2021 | 12/15/2051 | 1,484                       | 15.71                       |
| IN0020230176 | 7.37   | 30                   | 1/23/2024  | 1/23/2054  | 100                         | 1.06                        |
| IN0020220136 | 7.1    | 5                    | 1/27/2023  | 1/27/2028  | 80                          | 0.85                        |
| IN0020200054 | 7.16   | 30                   | 4/20/2020  | 9/20/2050  | 1,027                       | 10.87                       |
| IN0020220144 | 7.29   | 10                   | 1/27/2023  | 1/27/2033  | 80                          | 0.85                        |
| IN0020190032 | 7.72   | 30                   | 4/15/2019  | 6/15/2049  | 845                         | 8.95                        |
| IN0020230150 | 7.24   | 10                   | 12/11/2023 | 12/11/2033 | 50                          | 0.53                        |
| IN0020230143 | 7.25   | 5                    | 11/13/2023 | 11/13/2028 | 50                          | 0.53                        |
| IN0020260033 | 7.71   | 40                   | 5/18/2026  | 5/18/2066  | 220                         | 2.33                        |
| Total        |        |                      |            |            | 51,867                      | 549                         |

Source: RBI, Bloomberg, Goldman Sachs Global Investment Research

## Summary tables

## Exhibit 4: Our views on relative performance of NJA FX and rates (3 month outlook)

|             | FX outlook* | Rates outlook** | Comments                                                                                                                                                                                |
|-------------|-------------|-----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| China       | Bullish     | Neutral         | Export strength, FX undervaluation and PBoC's broader tolerance for CNY strength underpins our bullish CNY view. Recent PBoC actions signal pace management of CNY appreciation.        |
| Korea       | Neutral     | Neutral         | Improving terms of trade outlook (on tech-exports and lower oil) offset by foreign equity outflows. We expect the BoK to hike 3 times versus market pricing of 4 in the next 12-months. |
| Taiwan      | Bullish     | Neutral         | Robust trade surplus from tech exports and large accumulation of USD deposits presents asymmetric risk for TWD strength. Neutral on TWD rates, as we expect CBC to remain on hold.      |
| Hong Kong   | Neutral     | Neutral         | Broad USD strength has pushed USD/HKD towards the upper end of the convertibility band; we expect spot to stay rangebound from here.                                                    |
| India       | Bullish     | Bullish         | RBI's FX measures to attract inflows were meaningful. Lower oil prices should help temper inflation and fiscal concerns. We also like INR duration and recommend 30Y bonds.             |
| Singapore   | Neutral     | Neutral         | Growth had held up in Q1, while rise in inflation has been moderate. MAS already pre-emptively tightened policy in April and we do not expect further tightening this year.             |
| Thailand    | Bearish     | Neutral         | BoT remains neutral and likely to look through transitory inflation pressures. Lower gold prices and structural headwinds to the economy should exert weakening pressures on the THB.   |
| Malaysia    | Bullish     | Neutral         | MYR has been under pressure on increased political risk premium ahead of state elections. However, growth, export and FDI outlook remains solid and we remain constructive the MYR.     |
| Indonesia   | Bearish     | Bearish         | BI rate hikes and FX measures provided short-term relief for IDR. However, concerns on natural resource export rules, governance and fiscal discipline to keep the IDR under pressure.  |
| Philippines | Neutral     | Neutral         | BSP is vigilant on second-round inflation and remains hawkish. However, if oil prices stay low, then an improved terms of trade outlook will be supportive of the PHP.                  |

\*Performance of spot and carry relative to Asian peers; \*\* Rates market outlook vs. current yield level (reference to 5Y swaps or bond yields)  
Italics denote a change from our previous stance.

Source: Goldman Sachs Global Investment Research

## Exhibit 5: Trade Ideas in EM Asia rates and FX

## Trade Ideas in EM Asia rates and FX

| Open trades            | Initiated | Current | Entry | Target | Stop  | Total PnL (capital and carry) |
|------------------------|-----------|---------|-------|--------|-------|-------------------------------|
| Long INR 30-year bonds | 26-Jun-26 | 7.34%   | 7.34% | 6.90%  | 7.65% | + 0bps                        |
| Short THB/INR          | 12-Jun-26 | 2.91    | 2.91  | 2.70   | 3.05  | + 3%                          |
| Short SGD/MYR          | 23-Jan-26 | 3.19    | 3.13  | 2.90   | 3.30  | - 1.9%                        |

\*Target / Spot-loss levels are expressed in index terms to incorporate the total returns from; i) duration, ii) carry and iii) spot FX where appropriate.

| Closed trades                                                                          | Initiated | Closed    | Entry | Closed | Total PnL (capital and carry) |
|----------------------------------------------------------------------------------------|-----------|-----------|-------|--------|-------------------------------|
| Receive THB THOR 2Y OIS                                                                | 23-Jan-26 | 9-Mar-26  | 1.20% | 1.13%  | +15bps                        |
| Long PHP 5Y bond FX-hedged                                                             | 5-Aug-25  | 5-Mar-26  | 5.93% | 5.77%  | +32bps                        |
| Long INR 30Y bonds FX-hedged                                                           | 5-Sep-25  | 11-Feb-26 | 7.22% | 7.47%  | +20bps                        |
| KRW 2Y IRS                                                                             | 18-Nov-25 | 4-Feb-26  | 2.80% | 3.16%  | -35bps                        |
| Short SGD/TWD                                                                          | 3-Oct-25  | 7-Jan-26  | 23.57 | 24.6   | -3.80%                        |
| Short THB/KRW                                                                          | 10-Jan-25 | 9-Sep-25  | 42.3  | 43.74  | -3.30%                        |
| Long 1Y SRBIs fully FX hedged                                                          | 3-Oct-24  | 21-Jul-25 | 6.82% | 6.58%  | +112bp                        |
| Long 2Y CGBs                                                                           | 6-Apr-25  | 16-May-25 | 1.47% | 1.47%  | 0bp                           |
| Receive INR 2Y NDOIS                                                                   | 28-Jan-25 | 16-May-25 | 6.08% | 5.48%  | +44bp                         |
| Long KRW 2s10s IRS Steepener                                                           | 4-Sep-24  | 16-May-25 | -12bp | 20bp   | +9bp                          |
| Long INR vs. Asian FX basket (CNH, TWD, THB, MYR, and SGD with equal weights)          | 6-Jan-25  | 3-Apr-25  | 100   | 100.33 | +33bp                         |
| Long 5Y CGB on a FX-hedged basis                                                       | 17-Nov-24 | 21-Feb-25 | 1.69% | 1.55%  | +14bp                         |
| Long INR vs. Asian FX basket (CNY, KRW, TWD, THB, MYR, SGD and JPY with equal weights) | 17-Nov-24 | 6-Jan-24  | 100   | 100.48 | +114bp                        |
| Long 2Y IGBs FX-unhedged                                                               | 29-Feb-24 | 6-Nov-24  | 7.02% | 6.50%  | +3.8%                         |
| Pay THB 2Y THOR OIS                                                                    | 7-Aug-24  | 1-Oct-24  | 2.02% | 2.04%  | +8bp                          |
| Short CNY vs. CFETS basket                                                             | 9-Aug-24  | 30-Sep-24 | 100   | 103    | -0.7%                         |
| Short EUR/INR                                                                          | 12-Jan-24 | 21-Aug-24 | 90.91 | 93     | -0.3%                         |
| Rec SGD 2Y SORA OIS vs. basket of global 2Y rates                                      | 14-Apr-23 | 6-Aug-24  | -8bp  | -28bp  | +42bp                         |
| Short THB/KRW                                                                          | 15-Mar-24 | 26-Jul-24 | 37.17 | 38.31  | -2.7%                         |
| Long THB 3Y bonds vs. paying 3Y THOR swaps                                             | 10-Jan-24 | 10-Jul-24 | -20   | -10    | +10bp                         |
| Long 1Y CGB (FX hedged)                                                                | 10-Nov-23 | 27-Apr-24 | 2.25% | 1.65%  | +60bp                         |
| Long 10Y INDOGBs FX-unhedged                                                           | 14-Dec-23 | 17-Apr-24 | 6.60% | 6.75%  | -15bp                         |
| Short TWD/KRW                                                                          | 13-Jun-23 | 15-Mar-24 | 41.42 | 41.83  | +0.3%                         |
| Short MYRTHB                                                                           | 10-Nov-23 | 7-Feb-24  | 7.63  | 7.48   | +2.0%                         |

Source: Goldman Sachs Global Investment Research



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**Contributing Authors:** Danny Suwanapruti Goldman Sachs (Singapore) Pte, Santanu Sengupta Goldman Sachs India SPL, Arjun Varma Goldman Sachs India SPL, Andrew Tilton Goldman Sachs (Asia) L.L.C..

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